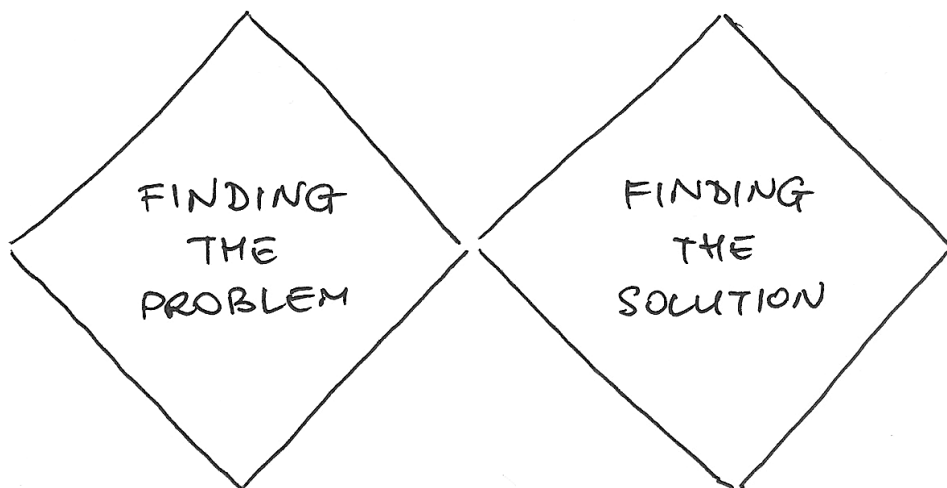


THE DIFFERING PERCEPTIONS SURROUNDING THE 'VALUE' OF DESIGN IN BUSINESS

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The Differing Perceptions Surrounding the ‘Value’ of Design in Business

This essay will critically examine the different perceptions surrounding the discipline of design management and investigate how these perceptions affect what design is used for, how it has been used in the past and how it could be used in the future within the business sector.

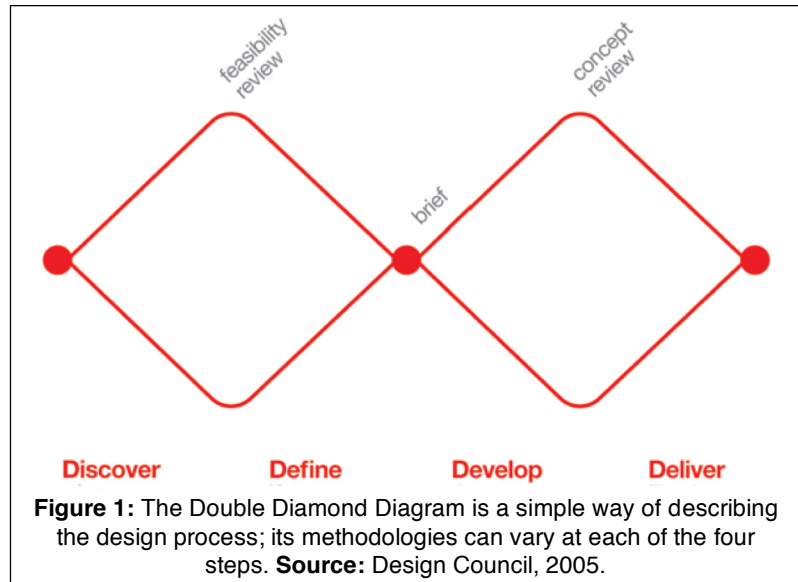
Although design has existed for centuries, its modern practices and principles are becoming highly equivocal (Buchanan, 2015). The role of design in society is changing; it has evolved from an arts-based activity to an activity preoccupied with problem solving (Turner, 2000; Muratovski, 2015). A visible shift has occurred, from design being perceived as “styling via design as a process, towards design as a strategy” (Mager and Sung, 2011:1). Its modern exposure within business is considered a ‘megatrend’ characterised by social, environmental and technological changes (Muratovski, 2015; Alcatel Lucent, 2012). As a megatrend, it is capable of significantly impacting the decisions businesses make regarding future development and investment (Alcatel Lucent, 2012). The variety of definitions and perceptions revolving around the term *design*, all contribute to the pluralism that make up modern design culture (Buchanan, 2015). Each of these meanings express significant facets that have contributed to its current but undeniable link with business (Buchanan, 2015; Turner, 2000) and its core belief of design thinking, being summed up within the discipline of design management.

There are significant differences in the way design management is perceived today, which has largely contributed to its variety of uses and definitions. While some users continue to perceive design as a “cosmetic addition to the armory of business weapons” (Marketing Week, 2006), others have started to recognise that it is no longer simply a *visible* add-on and appreciate it for its integral role in planning and production within business strategy (Mager and Sung, 2011; Design Week, 2006).

Definition 1: Strategic Resource for Business: An Asset, Not an Overhead

With the changing influence of design within business and society, designers are becoming increasingly entrepreneurial, involving themselves in parts of businesses and strategies that were never considered relevant to the discipline before (Handley, 2013; Muratovski, 2015). Design culture is gaining more acceptance in the world of business (Machado, 2016). It is viewed as a strategic enabler, playing an essential role in business development and growth (Tesseras, 2014). The ‘design thinking boom’ and its variety of methodologies [Figure 1]

contributed to changing the way businesses worldwide function, as an increasing number of managers are taking advantage of these ways of thinking for modern business problem-solving (Machado, 2016). Experts such as George Nelson believe that design has transformed into an integral part of the business that should be involved in the company philosophy itself (Buchanan, 2015). By taking advantage of design's human-centred capabilities and implementing it into a company's philosophy, it increases the focus on the customer and allows the business to think more thoroughly about every detail of the user-journey (Tesseras, 2014). Businesses are better able to design "the purchasing experience, every



component of the product, the communication experience, and the user experience" (Marketing Week, 2006). This reveals the ultimate platform to launch products, systems and services with a more personal touch, that contribute to making the customer feel special.

Design is a resource considered *good* for modern businesses; its theories and principles are being given more respect as *economic forces* (Muratovksi, 2015). An increasing number of businesses are using design thinking to guide them through business decisions, believing it is a tool that is able to clarify business strategy (Muratovksi, 2015; Turner, 2013). Raymond Turner (2000:42) considers design the "glue that welds corporate intent with day-to-day delivery", meaning it is the much-needed link between a company's strategic ambition and its practical delivery. He refers to design as the supportive follower of business, recognizing that it must become irreplaceable in its use within a business; simply "the way we do things" (Turner, 2000:44). Microsoft (2017), is the global leader in operating systems and software with its mission of "empowering every person and every organization on the planet to achieve more". The company has significantly evolved from a technology-driven organization to one that heavily relies on design thinking to focus more on user-experience and better adapt to user needs (Design Council, 2005). Designers at Microsoft currently operate in a multi-disciplinary environment, in which they contribute to fully integrating design and providing other departments insight on the skills and methods they use in human-centred innovation (Design Council, 2005). This also allowed them to adapt their design process to *understand, ideate, implement and maintain* and begin self-testing their own products, engaging in their

company principal of “eat your own dog food” (Design Council, 2005:22), allowing them to better empathise with and test the user-experience they offer. Overall, it is evident that design is perceived and has been adopted as a strategic resource for business, giving it a certain flair when it’s implemented within the DNA of a business (Turner, 2000).

Definition 2: Design Leadership: Implementation of Strategic Intent

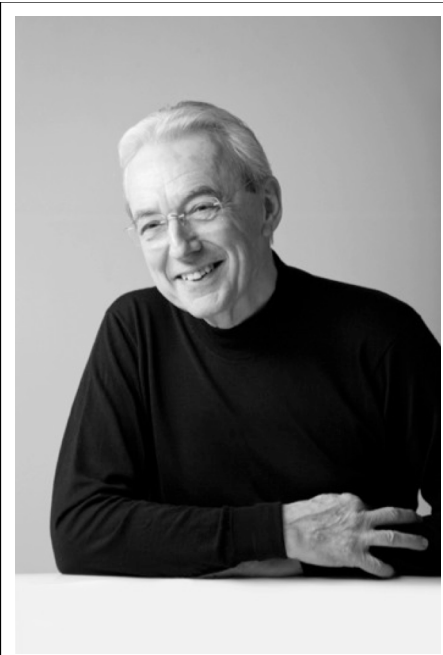


Figure 2: Raymond Turner is a firm advocate for Design Leadership.
Source: Turner, 2013

Design leadership is another recurring theme within the design discipline. Although the term is viewed quite interchangeably with design management, Raymond Turner (2013:9) strongly emphasises their distinct differences, in the idea that “design leadership helps define the future, whereas design management simply provides the tools for getting there” [Figure 2]. He considers design a commercial imperative, as it plays a part in helping businesses achieve their goals (Turner, 2013). However, what being involved in design leadership truly means is still unclear. Articles by Design Week (2006) question whether the term suggests “leading design” or “leading business by design”, as there is a clear difference between the two objectives. However, it may be the choice of the business itself, whether it is led by design or simply has design contribute to the overall business strategy. The view of

designers as *business leaders* is already rapidly gaining momentum, as businesses begin to recognise that it is ineffective to lead an organization that is poorly designed (Buchanan, 2015). Unmanaged brands are often perceived as cheap and poor quality, so companies are beginning to see the sense of using design to lead in a dynamic way, that is also in their favor (Machado, 2016). It also has a large impact on creating competitive advantage and enabling success within a business (Design Week, 2006). GlaxoSmithKline (GSK), the consumer healthcare business, has evolved its perception of design from an add-on (i.e. packaging) to an integral part of business strategy that unites multiple touchpoints (Tesseras, 2014). The company aims to fully transition to using design thinking as their guiding principle. Their vice president of global design for consumer healthcare, Andrew Barraclough, says they’re transitioning from “managing design to a position of design leadership”, by improving customer service, optimizing design expenditure and regulating the input and output quality (Tesseras, 2014). The company is an example of how design management and leadership

might differ, but their uses within business still appear to overlap in their descriptions, and both continue to play a large role in business.

Definition 3: Competitive Advantage: The Design Dimension

When used efficiently, design has the capability and resources to augment the likeliness of business success (Turner, 2000). Due to the increasing number of companies who are integrating design, rather than viewing it separately, and the encouragement it receives to be involved in the overall business strategy, it is consistently being perceived as a brand differentiator, leading to overall competitive advantage (Tesser, 2014). Its commercial benefits have been summarised as creating products or services that are considered useful, functional and sought-after; improving communication between the brand and its target audience; creating more personal products or services that emotionally connect with customers; stimulating increased sales and revenues (Design Week, 2006). Raymond Turner (2000) specifies that design is able to clarify what a company values and promotes, and what differentiates it from competitors. He quotes English designer Rodney Fitch when he states, “only one company can be the cheapest—the others have to use design” (Turner, 2000:43). This suggests that design plays a key role in thoroughly differentiating companies from their competitors, as well as in how they present themselves to the world (Marketing Week, 2006). Companies must be prepared and able to empathise with their customers to understand what they truly value and then translate these values into a product or service that stands out from its competitors (Lindič et al., 2011). According to Romeu Biscaia Machado (2016), companies that have placed design at the centre of their business strategy are surpassing competitors by over 200% and experiencing better results overall. For example, Apple, Inc. has recognised the significance of making an everlasting impression on its customers. Its early adoption of its design-oriented mentality and consistent emphasis placed on innovation throughout its existence, acts as its value proposition and has made the company unforgettable in the eyes of consumers (Lindič et al., 2011; Marketing Week, 2006). This has allowed it to maintain its position of market leader, despite the increasing competition (Marketing Week, 2006). It uses design to ensure that it corresponds with specific customer needs, whilst having a unique and superior appearance that is able to set it apart (Marketing Week, 2006). British Airways, on the other hand, adopted design at a much later stage as a method to improve its understanding of the changing needs of their customers (Banks, 2013). Most airlines typically standardise the way they structure the user-experience, but British Airways is trying to differentiate itself by using design to better adapt to what its customers expect during their ground- and air-experiences (Banks, 2013). In these theories and examples, design proves its ability to differentiate companies and create competitive advantage amongst competitors.

Definition 4: Catalyst for Innovation: Design Drivers

Design has become more involved in the innovative concepts, which businesses now try to make realities (Chahal, 2014). For some businesses, like Barclays and Deloitte, design is even making an appearance as a catalyst for innovation (Muratovski, 2015). These businesses are now aiming to “position themselves as design-led businesses focused on customer experience [...] and are adopting entrepreneurship as their guiding principle” (Muratovski, 2015:129). For modern businesses, being design-led implies that they truly understand their overall purpose *and* their customers. Disruptive innovation is also becoming a trend amongst businesses as they begin to question their traditional business models and undergo novel transformations to offer more “simplicity, convenience, accessibility and affordability” (Muratovski, 2015:119). Companies investing in disruptive innovation are looking to achieve long-term effects and maintain their advantage over competitors who simply decrease prices (Machado, 2016). To better develop their simplicity, convenience, accessibility and affordability, companies must accept that design as a field of *thinking* rather than a field of *making* (Design Week, 2006; Muratovski, 2015), which provides the ideal platform to brainstorm how to adapt to user needs. The overall design movement aspires to innovate, especially for the companies that need to adapt to the changing expectations of their customers and increasing competition within their markets (Buchanan, 2015). Design has already acted as a



Figure 3: Chief Executive at Nike Mark Parker's office space. As a former designer, he visually embraces Nike's internal catchphrase and immersion of sport within his office. **Source:** Amed, 2014.

vehicle of innovation which can be seen in numerous examples. Apple, Inc. is today's most valuable technology company, which all started after it embraced design as part of its strategy and ensured that it understood the consumer it was designing for, rather than simply following the existing industry trends (Elmer-DeWitt, 2011). Its ability to innovate through design became the basis of its success; Apple, Inc. was able to revolutionise the manner in which people use computers, listen to music and use their phones (Elmer-DeWitt, 2011; Muratovski, 2015). Design made the innovative nature of Apple possible to begin with. Nike, Inc. is another example of a company that made design a priority and welcomed innovation

in turn (Amed, 2014). Sport has been immersed deep within its business culture [Figure 3], which was further enabled through its use of design. The company's innovative and design-oriented spirit fully focuses on empowering star athletes (Amed, 2014). Its internal catchphrase is "evolve immediately", which is reflected in its enthusiasm for change and innovation (Chahal, 2014). Design is embraced as a crucial part of the innovation process (Mager and Sung, 2011); its ability to act as a catalyst for innovation is influencing an increasing number of businesses to adopt its methodologies (Muratovski, 2015).

Definition 5: Unifying Agent

Management provides the ability to unite various elements of a business (Buchanan, 2015). Design is undertaking a management role by contributing to creating a more thorough link between different departments of a business and becoming multi-disciplinary in its function (Muratovski, 2015). It provides the empathic skills that are needed to successfully stimulate a multi-disciplinary project and embrace collaboration and co-creation to create powerful solutions (Machado, 2016). This profound connection with the business is believed to amplify the power of design itself, allowing designers to fully immerse themselves in other departments and share their insights on the skills and methods used in innovation (Design Council, 2005). Designers are able to share useful insights and provide their colleagues with a better understanding of design that goes beyond a simple, decorative function (Machado, 2016). Design has the power to unite the business, which can be seen within Apple, Inc. and British Airways. These companies uniquely integrate the design discipline within their businesses, allowing themselves to better communicate their value in a way that customers can understand (Muratovski, 2015).

Furthermore, design can add value by having the ability to influence public perception of a company's products and services (Turner, 2000). It can act as a strategic tool that plays a significant role in shaping customer experience and perception (Marketing Week, 2006). Designers consider themselves well-accustomed to the needs of their users and, therefore, can better unite business offerings with their target audiences (Muratovski, 2015). They can adapt to the needs of their target audiences throughout the design process to develop the optimal user-experience (Tesser, 2014). This describes its undeniable link to customers, which is a result of its human-centred capabilities. Crowd-sourced ideas are playing a more significant role in the new ideas and concepts that companies introduce (Machado, 2016). By using design, companies can maintain their design integrity and build their reputations in favor of their business (Turner, 2000). Starbucks, for example, uses design to create a unique service for its customers; the company seeks to exhibit its brand values throughout the customer experience as a method to better link itself to its customers (Design Council, 2005).

Design is able to act as a unifying agent for its business in two distinctive ways: through linking different departments of a business together, allowing itself to strive within a multi-disciplinary environment, and by better linking the business to its customers. This has caused the connection between design management and business begin to make more sense for both business associates and consumers (Machado, 2016). Both usages may contribute to the overall company reputation, as design is empowered by working with people of various backgrounds to create the optimal user-experience for its customers.

Definition 6: Agent of Positive Change: Fostering a Climate for Cultural Change

One of design's most influential roles has only recently evolved. It is beginning to play a role in facilitating social change and sustainability, by getting more involved with modern issues, related to widespread illnesses, globalization, terrorism, overpopulation and the environment [Figure 4] (Muratovski, 2015; Buchanan, 2015). Design uses unusual methods to produce new solutions that had not been initially considered and activate collective optimism (Sangiorgi, 2011). Design has started to significantly play a role in social innovation and sustainability projects (Design Week, 2006; Muratovski, 2015). Its capability to make changes within communities is being continually enhanced (Sangiorgi, 2011). Transformation design is a means of this, as it is considered a design function that is tasked with continually responding to issues, adapting to new situations and being innovative (Burns et al., 2006). Its goal is to create radical change and societal transformation through "public and community services [or] working for socially progressive ends" (Sangiorgi, 2011:29). Design is being used to address societal challenges

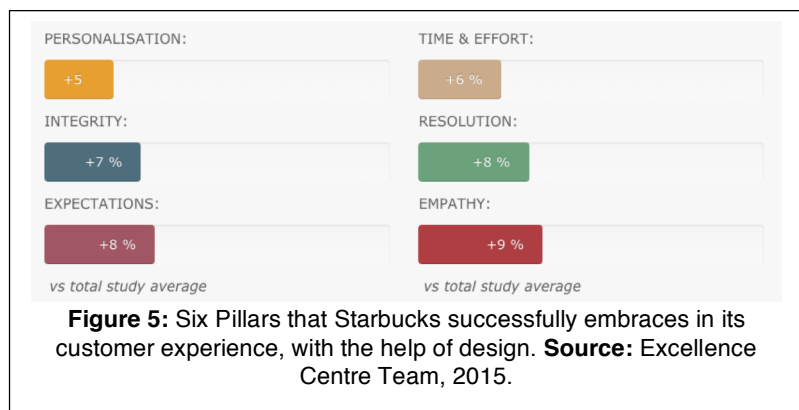


and accelerate economic changes (European Commission, 2009). The United Nations (UN), for example, was motivated to start implementing design within its strategy after witnessing the success already experienced by its innovation project team involved in Security Needs Assessment Protocol (SNAP) (Miller et al., 2010). SNAP uses design to strengthen its activities surrounding peace, security and development. The UN has recognised design for its unique

and evidence-based methodology, increasing overall transparency and effectiveness (Miller and Rudnick, 2015). It wants to increase design's role in "maintaining international peace, protecting human rights, upholding international law, and delivering humanitarian aid" (Muratovski, 2015:133). UNEP (2017), UN's Environment Programme, have already commended design for its contribution to sustainability, through its contribution to sustainable business practices and promotion for Green Economy. Overall, it is evident that design has been used as an agent of positive change and design thinking has played a significant role in developing socially relevant scenarios and solutions (Muratovski, 2015). This new reputation may reveal even more opportunities for the design discipline.

Definition 7: Enabler of 'Meaningful Experiences'

Finally, design has largely contributed to facilitating 'meaningful experiences'. Design has shifted from the tangible world to the intangible and now largely contributes to the interactions consumers have with the services they use and ensuring the best outcome (Mager and Sung, 2011; Mozota et al., 2009), and, in turn, how these services contribute to 'meaningful experiences'. Companies are starting to prioritise customer experience through service design (Teixeira et al., 2012). Design provides the methodologies required to address this new design spectrum, perceiving it as a major contributor to transformation value (Mager and Sung, 2011; Mozota et al., 2009). Service design is becoming increasingly significant and is being established as its own discipline, integrating design thinking into its practices, processes or systems (Mager and Sung, 2011). It takes account of the environment, the people involved and service delivery, and organises them in a way to ensure that the experience comes across in the appropriate way (Teixeira et al., 2012). It takes advantage of design's overall human-centred approach to analyse intricate customer experience information, build their understanding of the target consumers and create the optimal service (Teixeira et al., 2012). The optimal service intends to be perceived as "useful, usable and desirable" by its users and "efficient, effective and different" by its source (Mager and Sung, 2011:1). Designing customer experience revolves around the whole journey and recognises that co-creation plays a large of the process and that customers must interact with several elements (Vargo and Lusch, 2004; Mager and Sung, 2011). Designers contribute to supporting customers in this co-creation to successfully create a 'meaningful experiences'



through their services (Teixeira et al., 2012). For example, Starbucks is famous for its “consistent customer experience” and its recognition as a “*third place* between work and home” (Shaw, 2012). The brand aims to empathise with their customers and create a personal experience that aligns with consumer expectations (Excellence Centre Team, 2015). Starbucks is known for coordinating its service delivery and catering towards personalization, integrity, expectations, time and effort, resolution and empathy [Figure 5] (Excellence Centre Team, 2015). Starbucks has been able to take advantage of the same empathic skills required in design to co-create and deliver ‘meaningful experiences’.

Conclusions

After recognizing design for its ability to constantly evolve, it became clear how it can significantly impact society in such a variety of ways. The only certainty regarding design is that is no longer simply an *arts-based activity* and its role has become much more elaborative. The design discipline has demonstrated its effectiveness as a strategic resource for business, which has been supported by multiple design experts and by Microsoft’s increased success after transforming its overall attitude towards design. By investigating design leadership, it was revealed that design management provides the tools for defining the future, although the terms continue to be used interchangeably. Design management has also proven its ability to differentiate brands and contribute to their competitive advantage, whether simply by publicizing the design-oriented mentality of the business, like Apple, Inc., or by completely using design to provide the optimal customer experience and make them more personal and distinct, like British Airways. The role design plays in innovation is also increasing, helping companies adapt to the new trends of simplicity, convenience, accessibility, and affordability, while also embracing their individuality. Apple and Nike both reveal the advantage of embracing design as a vehicle of innovation. Design has even prevailed as a unifying agent, being able to better unite the various departments of a business together, as well as improve the link between the business itself to the customer, as a result of its human-centred capabilities and methodology. It also has recently started to function as an agent of positive change, using its unconventional approaches to contribute to social innovation and develop solutions for various global issues. Finally, design has largely contributed to facilitating ‘meaningful experiences’. By taking advantage of its empathic skills, it is able to better adapt to and co-create with customer needs to create the optimal user-journey. Although the various perceptions surrounding the discipline greatly vary, they have largely affected what design has been used for and continuously help reveal the increasing number of opportunities it has the option of getting involved in. It is evident that design has undergone a significant evolution from an add-on to an integral part of modern businesses and strategies. Due to the recognition of future development and changes, it can be predicted that the discipline will

continue to evolve further and its unconventional approaches for developing solutions will be further embraced. However, theorists also believe designers are slowly moving away from resolving problems and now seek to prevent them from existing altogether, which introduces it to a whole new side to its ambiguous nature. Design seems to be fully dependent on perceptions to determine what it is that it can and cannot get involved in, so social changes will continue to affect it and what it is capable of in the long-run.

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